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China Communication Infrastructure

China's Rmb2trn AI Buildout: Major Tailwind for the Domestic AI Infrastructure Ecosystem

CITI'S TAKE

BBG [reported](#) (June 9) China government's plan to invest roughly 2 trillion yuan (\$295 billion) over the next five years to build a nationwide data center network. Led by the NDRC, the initiative will be operated primarily by major state-owned operators and the plan mandates $\geq 80\%$ reliance on domestic AI chips. We see this as a monumental catalyst for China's digital infrastructure: **GDS** and **VNET** are capturing momentum with record 1Q26 wholesale bookings. We believe **IEIT**, **Lenovo**, **ZTE** (AI server demand), **Accelink** (domestic optics) and **Chinasoft** (Huawei proxy, computing power services) will benefit from AI ecosystem localisation. Also, SOE telcos will cement their role as foundational operators of China's AI economy.

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Data Center Industry Tailwinds

At an assumed all-in unit cost of approximately RMB200m/MW (inclusive of data center build-out and AI servers), the 2 trillion yuan plan implies the addition of approximately ~10GW of new AIDC capacity over five years, equivalent to ~2GW per annum. To put this in context, China's current total installed IDC capacity is estimated at ~20GW for 2026E. This plan alone would expand AI-grade capacity by ~50% relative to today's base.

Although the government's investment plan is reported to be rolled out by SOE operators, we see the buildout as a structural tailwind for China's carrier-neutral IDC operators. We believe demand for high-quality, AI-ready data center capacity is set to accelerate materially, directly supporting the wholesale order momentum already evident in both GDS's record 1Q26 bookings (~200MW) and VNET's 500MW+ new orders signed in 1Q26.

Supply Chain Localization

The strategic mandate to rely on local suppliers for at least 80% of critical technology—such as AI chips from Huawei—will rapidly accelerate domestic semiconductor growth.

We see **IEIT**, **Lenovo** and **ZTE** as key beneficiaries as localised AI server ecosystem proxies. We believe mandating domestic chip content will drive AI server demand for their supply-constrained server business. **Accelink** as a leading domestic optical transceiver stands to benefit from the surge in inter-datacenter and intra-datacenter optical connectivity demand. The plan will also create a large addressable market for **Chinasoft's** domestic computing power and token-based AI services as the company is Huawei's ITS and ISV partner.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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State-owned telecom operators are positioned to operate bulk of these interconnected data centers, according to the BBG report. This solidifies the transition of SOE operators from traditional connectivity providers to foundational operators of China's AI economy.

Companies Mentioned:

Accelink Technologies (002281.SZ; Rmb210.22; 3; 09 Jun 26; 15:00) | Chinasoft International (0354.HK; HK\$3.91; 2; 09 Jun 26; 16:10) | GDS Holdings (GDS.O; US\$34.69; 1; 08 Jun 26; 16:00) | IEIT SYSTEMS (000977.SZ; Rmb59.46; 2; 09 Jun 26; 15:00) | Lenovo Group (0992.HK; HK\$25.38; 1; 09 Jun 26; 16:10) | VNET Group (VNET.O; US\$8.87; 1; 08 Jun 26; 16:00) | ZTE (0763.HK; HK\$27.98; 2; 09 Jun 26; 16:10)

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